While on the issue of bank obligations, there is an area where they do seem to be at a disadvantage vis-à-vis other financial institutions – in the raising and lending of long-term money. This becomes especially important for infrastructure, where banks can be essential in early stage construction financing. Since construction lasts for five to seven years, banks should be able to raise long tenor money for these purposes. But if they raise such money today, they immediately become subject to CRR and SLR requirements, and any lending they do attracts further priority sector obligations. To the extent that banks raise long-term bonds and use it for infrastructure financing, could we relieve them of such obligations? This will immediately put them on par with other financial institutions such as insurance companies and finance companies in funding long-term infrastructure.

The priority sector obligation will probably be necessary for some more time in a developing country like ours, though we need to deliberate more on what sectors should constitute priority as the economy develops. But even without entering this potentially contentious debate, can we allow banks to fulfil existing norms more efficiently? For instance, if one bank is more efficient at rural lending, can it over-achieve its obligations and then 'sell' its excess to another bank that is an underachiever? We are examining such possibilities.

Finally, we have had only limited success in achieving inclusion when it is seen as a mandate. Banks sometimes open branches in remote areas but the officers that staff them do not really reach out to the local population; banks open no-frills accounts but many lie dormant… The reality is that if the mandate is unprofitable, banks will find ways to avoid them. Not all forms of inclusion can be made profitable, but we should give banks the freedom to try new approaches, perhaps drawing in other institutions that can traverse the last mile to the underserved where necessary. The RBI will come out